

FINANCIAL SECTOR SUSTAINABILITY CHAMPIONS

- Banks YES Bank • NBFCs L&T Finance

SPECIAL RECOGNITION AWARDS

- Best ESG Performer L&T Finance
- Best Disclosures & Transparency Leader ONGC
- Special Jury Award in Sustainability Leadership Mahindra and Mahindra



CareEdge-ESG Assessment Framework for BT Awards

Sustainability Standing

Final sustainability standing factors in:

- ▶ Aggregated theme scores using theme weights
- ▶ Making it comparable on 0 –100 scale across companies
- ▶ Also, qualitative analysis of sustainability performance

Themes

3

- ▶ Theme scores computed by aggregating core category scores
- ▶ Transition assessment is also incorporated in the analysis

Categories

24

- ▶ 24 categories were grouped under three themes
- ▶ Around 10 categories identified as core based on relevance
- ▶ KI scores are normalised at core category levels—core category score

Key Indicators (KI)

- 450

- ▶ Judicious mix of quantitative and qualitative parameters
- ▶ These are categorised in multiple different ways
- ▶ Each KI is scored either on absolute or relative basis
- ▶ Also assigned composite weight based on relevance & significance

Data Points

1,500+

- ▶ Data points used in measurement of KIs

CareEdge-ESG Scoring Process

INDICATORS



- ▶ Sourced using Indian and international reporting frameworks, laws, regulations and standards
- ▶ KIs grouped by attributes under relevant key categories

RELEVANCE



- ▶ Activity weight based on category of KI and its relevance
- ▶ Activity weight is sector-agnostic. It is low for mere policies and high for measurable performance

SIGNIFICANCE



- ▶ Materiality of a KI differs from industry to industry
- ▶ Each KI is assigned a materiality weight based on their sustainability related impact

SCORING



- ▶ Based on disclosures, responses, industry benchmarks and relative ranking
- ▶ Relative Scoring: Scores normalised using z-scores, percentiles, and benchmarks
- ▶ Absolute Scoring: Binary KIs

AGGREGATION



- ▶ Scores aggregated at core category level using relevant weights
- ▶ Final score is weighted average theme score

Selection Criteria & Sectoral Award

Top 1,000 listed entities in the sample

Sector, Industry and Basic industry classification as per MDAC

13 sectors shortlisted based on their impact on environmental and social themes

Companies further grouped based on broad similarity in business model

S.No	Sector	Total Companies considered
1	Automobiles	9
2	Capital Goods	30
3	Cement	20
4	Chemicals	15
5	FMCG	10
6	Infrastructure	21
7	Logistics & Ports	8
8	Metals & Mining	16
9	Oil & Gas	9
10	Power Generation	10
11	Realty	26
12	BFSI – Banks	37
13	BFSI – NFBCs	44
	Total	255

